

Exercise 2: Porter Five Forces Model

Introduction: The Porter Five Forces Model is a commonly used tool to help evaluate market attractiveness and aid in product management decision-making and planning.

Objectives:

- Review the Car Cam product development scenario
- Determine how the Five Forces are impacting product planning positively or negatively
- Develop an appropriate strategy to deal with the Five Forces

Part I: Determine how the Five Forces positively or negatively impact product planning. Annotate your findings in Appendix A.

Perform a Five Forces analysis and determine the optimal strategy to plan and deliver a successful product. Remember the Five Forces include:

1. Entry
2. Threat of Substitution
3. Bargaining Power of Buyers
4. Bargaining Power of Suppliers
5. Rivalry Among Current Competitors

Part II: Develop an appropriate strategy or strategies to deal with the five forces. Annotate your findings in Appendix B.

Use knowledge learned throughout this course. What major issues impact the Five Forces, and what do you recommend?

Summary: Save your spreadsheet with a unique naming convention. This spreadsheet will be part of a peer review and will be submitted at the end of the course.

Appendix A: The Five Forces

Force	Major Issues
Entry	Moderate barriers to entry; new tech companies can easily enter the market, increasing competition and driving price pressure.
Threat of Substitution	High, as consumers can use smartphones or cheaper dash cams as substitutes.
Bargaining Power of Buyers	High; customers are price-sensitive and can easily compare products online.
Bargaining Power of Suppliers	Moderate; most components are sourced globally, but supply chain issues can cause delays or higher costs.
Rivalry Among Current Competitors	Very high; several established brands compete on features, price, and reliability, making differentiation crucial.

Appendix B: Your Recommendations

Major Issue	Recommendations
High Competition	Focus on strong differentiation through superior image quality, adaptable mounts, and excellent customer support.
High Buyer Power	Offer promotional bundles, warranties, and loyalty discounts to increase customer retention.
Supply Chain Risks	Diversify suppliers and maintain backup contracts to mitigate shortages and delays.
Threat of Substitutes	Promote unique features such as motion detection and parking monitoring that smartphones cannot provide.
New Market Entrants	Build brand recognition early with a solid PR and marketing strategy emphasizing quality and value.